

Input-output price shocks and inflation inequality

Table 1: Effect of a 10 Percent Shock to Crude Oil and Gas Prices, 2023

Country	Average inflation	Average inflation	Average inflation	Income inflation gap	Income inflation gap	Income inflation gap	Age inflation gap	Age inflation gap	Age inflation gap	Rural-urban inflation gap	Rural-urban inflation gap	R
	Total	Direct	Indirect	Total	Direct	Indirect	Total	Direct	Indirect	Total	Direct	
DE	0.6	0.1	0.5	0.1	0	0	0.1	0	0	0.2	0.1	
FR	0.6	0	0.6	0	0	0	0.1	0	0.1	0.2	0	
IT	1	0.4	0.7	0.2	0.2	0.1	-0.1	0	0	0.4	0.3	
ES	0.8	0	0.8	0.1	0	0.1	0.1	0	0.1	0.1	0	
NL	1.1	0.2	0.8	-0.1	0	-0.1	0.2	0	0.1	0.3	0.1	
BE	0.8	0	0.8	-0.1	0	-0.1	0.1	0	0.1	0.2	0	
EA20	0.8	0.1	0.6	0.1	0.1	0	0	0	0	0.2	0.1	

Sources: Eurostat HICP, HBS, FIGARO, author's calculations.

Notes. Entries are percentage-point effects of a 10 percent sectoral input price shock. The price response is computed as $\Delta p = (I - A')^{-1}s$, with A built from FIGARO. The direct effect is the component from the shocked sector in the household consumption basket. Indirect is the Leontief propagation component. Total = Direct + Indirect before rounding.

Income inflation gap = Q1 - Q5 of revenues; age inflation gap = over 60 years - less than 30 years; rural-urban inflation gap = rural areas - cities.

Table 2: Effect of a 10 Percent Shock to Cereal Prices, 2023

Country	Average inflation	Average inflation	Average inflation	Income inflation gap	Income inflation gap	Income inflation gap	Age inflation gap	Age inflation gap	Age inflation gap	Rural-urban inflation gap	Rural-urban inflation gap	R
	Total	Direct	Indirect	Total	Direct	Indirect	Total	Direct	Indirect	Total	Direct	
DE	0.7	0.2	0.5	0	0	0	0	0	0	0	0	0
FR	1.2	0.3	0.9	-0.1	0	-0.1	0	0	0	0	0	0
IT	1.2	0.5	0.7	-0.1	0	-0.1	0	0	0	0	0	0
ES	1.2	0.3	0.8	-0.1	0	-0.1	0	0	0	0	0	0
NL	1.1	0.3	0.8	-0.1	0	-0.1	0	0	0	0	0	0
BE	1.1	0.3	0.8	-0.1	0	-0.1	0	0	0	0	0	0
EA20	1	0.3	0.7	-0.1	0	-0.1	0	0	0	0	0	0

Sources: Eurostat HICP, HBS, FIGARO, author's calculations.

Notes. Entries are percentage-point effects of a 10 percent sectoral input price shock. The price response is computed as $\Delta p = (I - A')^{-1}s$, with A built from FIGARO. The direct effect is the component from the shocked sector in the household consumption basket. Indirect is the Leontief propagation component. Total = Direct + Indirect before rounding.

Income inflation gap = Q1 - Q5 of revenues; age inflation gap = over 60 years - less than 30 years; rural-urban inflation gap = rural areas - cities.

Table 3: Effect of a 10 Percent Shock to Electronic Component Prices, 2023

Country	Average inflation	Average inflation	Average inflation	Income inflation gap	Income inflation gap	Income inflation gap	Age inflation gap	Age inflation gap	Age inflation gap	Rural-urban inflation gap	Rural-urban inflation gap	R
	Total	Direct	Indirect	Total	Direct	Indirect	Total	Direct	Indirect	Total	Direct	
DE	0.2	0.1	0.1	0	0	0	0	0	0	0	0	0
FR	0.2	0.1	0.1	0	0	0	0	0	0	0	0	0
IT	0.2	0.1	0.1	0	0	0	0	0	0	0	0	0
ES	0.1	0	0.1	0	0	0	0	0	0	0	0	0
NL	0.2	0.1	0.1	0	0	0	0	0	0	0	0	0
BE	0.2	0	0.1	0	0	0	0	0	0	0	0	0
EA20	0.2	0.1	0.1	0	0	0	0	0	0	0	0	0

Sources: Eurostat HICP, HBS, FIGARO, author's calculations.

Notes. Entries are percentage-point effects of a 10 percent sectoral input price shock. The price response is computed as $\Delta p = (I - A')^{-1}s$, with A built from FIGARO. The direct effect is the component from the shocked sector in the household consumption basket. Indirect is the Leontief propagation component. Total = Direct + Indirect before rounding.

Income inflation gap = Q1 - Q5 of revenues; age inflation gap = over 60 years - less than 30 years; rural-urban inflation gap = rural areas - cities.